IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V
(Special Bench)

Item No.-207
CP (CAA) No.-39/230/232/PB/2021(2nd Motion)

IN THE MATTER OF:
Praetorian Business Ventures Pvt. Ltd. With Armis Business Venture Pvt. Ltd. **....Applicant**

SECTION
U/s 230-232 **Order delivered on 28.07.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No.-39/230/232/PB/2021 (2nd Motion) is **allowed.**

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(P.S.N PRASAD)
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V
COMPANY PETITION NO. (CAA) – 39 (PB)/2021
CONNECTED WITH
COMPANY APPLICATION NO. 89 (PB)/2020

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

PRAETORIAN BUSINESS VENTURES PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY

AND

ARMIS BUSINESS VENTURES PRIVATE LIMITED

...PETITIONER NO.2/ TRANSFEREE COMPANY

Order Delivered On: 28.07.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant	: Mr. Praveen Sehrawat, Adv. with Mr. Haedev Singh, PCS
For the Respondent	:
For the RD	: Ms. Shankari Mishra, Adv.
For the OL	: Ms. Hemlata Rawat, Adv.

ORDER

PER: DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

1. The present Joint Petition is filed by the Petitioner Companies herein M/s PRAETORIAN BUSINESS VENTURES PRIVATE LIMITED

(Transferor Company/Petitioner No.1) and M/s ARMIS BUSINESS VENTURES PRIVATE LIMITED (Transferee Company/Petitioner No.2) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Company with ARMIS BUSINESS VENTURES PRIVATE LIMITED (Transferee Company/Petitioner No. 2). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company No. 1/Petitioner No. 1 i.e M/s Praetorian Business Ventures Private Limited is a private limited company incorporated on 17.02.2012 under the provisions of the Companies Act, 1956 vide CIN: U52100DL2012PTC231675, having its registered office situated at S-155, (Front Portion), First Floor Panchsheel Park, New Delhi- 110017. Thus, the registered office of the Transferor Company No.1 is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 1 is Rs. 1,000,000/- divided into 100000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 1 is Rs. 100,000/- divided into 10000 equity shares of Rs. 10/- each.

3. The Transferee Company/ Petitioner Company No. 2 i.e. M/s Armis Business Ventures Private Limited is a private limited company incorporated on 18.12.2011 under the provisions of the Companies Act,

1956 vide CIN: U55204DL2011PTC228448, having its registered office at 56/2, Friends Colony (East), New Delhi- 110065. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company is Rs. 1,000,000/- divided into 100000/- equity shares of Rs. 10/- each. The present issued, subscribed and paid-up capital of the Transferee Company is Rs. 100,000/- divided into 10000 equity shares of Rs. 10/- each.

4. The Petitioner Companies have submited that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits: -

   i. The business of the Transferor Company and of the Transferee Company could be combined in such a manner so as to take up the activities, which relate to the business of the Transferee Company.

   ii. The proposed scheme will result in reduction in overheads and other expenses, reduction in administrative and procedural work, eliminate duplication of work, better and more productive utilization of various resources and will enable the undertakings concerned to affect internal economies and optimize productivity.

   iii. The proposed Scheme will result in formation of a larger Company enabling further growth and development of the business of the said Company. The said Scheme will enable the undertakings and business of the said Company to obtain greater

facilities possessed and enjoyed by one large Company compared to a small Company for raising capital, securing and conducting trade and business on favourable terms and other related benefits.

iv. The Scheme will enable the Company concerned to rationalize and streamline their management, business and financed and lead to a better and more economic control, over the running and management of the business and undertakings of the said company.

v. The business of the Transferor Company and the Transferee Company can be combined conveniently and advantageously and in general, the said business will be carried on more economically and profitably after the proposed amalgamation, under the proposed Scheme.

vi. The proposed Scheme will contribute in furthering and fulfilling the objects of the Company concerned and enabling the optimum growth and development of their combined business as the Companies have common shareholders and directors.

vii. The proposed Scheme will thus have beneficial results for both the Companies and all concerned.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 1st April, 2020 or such other date which this Tribunal directs or deems fit in the circumstances of the case and the time taken in completion of formalities.

6. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)89/PB/2020. Vide order dated 14th October, 2020, the meeting of the Equity Shareholders of the Transferor Company and Transferee Company was directed to be held on 24.11.2020 at Registered Office of the Transferor Company and Transferee Company respectively. The Chairperson's Report was filed on 01.12.2020 for the meeting of the shareholders and the scheme of Amalgamation was unanimously approved by shareholders of the Transferor Company and Transferee Company. The same is on record. There were no Secured Creditors of the said Companies therefore, the necessity of convening a meeting did not arise. Similarly, as there were no Unsecured Creditors of the said Companies, the necessity of convening a meeting did not arise.
7. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator
8. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in "Business Standard" (English, Delhi edition) edition as well as "Jansatta" (Hindi, Delhi edition), both dated on 22.10.2020. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator,

the Income Tax Department and Registrar of Companies, NCT of Delhi and Haryana and to the other relevant sectoral regulators.

9. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

10. The Regional Director (RD) in its report dated 28.07.2021 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 26.08.2021 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation of the Regional Director vide report dated 28.07.2021	Reply of the Petitioner Companies vide Affidavit dated 26.08.2021
11. (a) Para- 3.30 of the scheme under GENERAL RESERVES it is stated that: *"The reserves created out as a result of Scheme of Amalgamation being approved, the same shall be transferred to the "General Reserve" to be utilized as per the Accounting Standards issues by the Institute of Chartered Accountants of India for the "General Reserve". The Treatment shall be in compliance with the applicable Accounting Standards specified under Section 133 of the Companies Act, 2013 read with the Company (Accounts) Rules, 2014".* The contention of the above para of the scheme is not correct since the reserves created out as a result of scheme of Amalgamation cannot be a surplus generated out of operational activities of the company hence, it cannot be the	(a) That in response to content of Para 11 (a) it is submitted that the Scheme of amalgamation is in the nature of 'merger' as per the paragraph 3 (e) of the Accounting Standard-14 and is not in the nature of "Purchase" as mentioned in para 4 of As-14. That the Regional Director himself specified that there is no specific Accounting Standard pronounced by Ministry about the accounting treatment of General Reserve. But the contention of the Regional Director that the Petitioner be directed to substitute Capital Reserve or Amalgamation Reserve in place of General Reserve would have been correct only with respect to an 'amalgamation in the nature of purchase' and not in the case of an 'amalgamation in nature of merger' as per the provisions mentioned hereinabove. The present amalgamation is not in the nature of Purchase, but is an 'amalgamation in the nature of merger' as defined in para 3 (e) of AS-14. As per

nature of general reserve in the books of the transferee company. Also there is no specific Accounting Standard pronounced by the Ministry speaking about accounting treatment of general reserve. In view of the above, Hon'ble court may direct the petitioner companies to modify such para of the scheme by substituting it as Capital Reserve or Amalgamation Reserve in place of General Reserve since the surplus if any arose out of amalgamation is in the nature of capital profit only.	Para 16 of AS-14, 'the identity of the reserves is preserved and they appear in the financial statements of the transferee company in the same form in which they appeared in the financial statements of the transferor company' and 'as a result of preserving the identity, reserves which are available for distribution as dividend before the amalgamation'. Hence, the contention of the Regional Director that 'surplus if any arose out of amalgamation is nature of capital profit only' and that capital reserve or amalgamation reserves needs to be substituted in place of general reserve is incorrect as per the provisions of AS-14. Further, it is submitted that the Petitioner gives its undertaking to follow and implement any direction/order passed by this Hon'ble Bench in this regard. Further it is most respectfully submitted on behalf of the Board of Directors of the Transferee Company, I hereby undertake that the reserve created as a result of the Scheme of Amalgamation being approved, shall be transferred and treated in the manner laid down by the Accounting Standards issued by the Ministry of Corporate Affairs, specified under Section 133 of the Companies Act, 2013 read with the Company (Accounts) Rules, 2014. I further undertake that the above said reserve shall not be utilized in distribution of dividend and/or any purposes which are not allowed under Accounting Standard or other applicable provisions, if any.
(b) Para- 5.16(e) of the scheme of amalgamation speaks as under: *"The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor shall be adjusted from reserves and should be presented separately from other reserves".* The above para of the scheme does not speak correctly about creation of reserve out of such amalgamation since the reserve will be created out of the netting-up of the excess amount of net assets acquired from the transferor company against the purchase consideration paid by the transferee company, whereas the above para speaks that the reserve is the	(b) That in para 11(b) of the affidavit, the Regional Director has made observation that the para 5.16 (e) of the Scheme does not speak correctly about creation of reserve out of such amalgamation since the reserve will be created out of the netting-up of the excess amount of the net assets acquired from the transferor company against the purchase consideration paid by the transferee company. It is submitted that the reserve about which the Regional Director has mentioned in the para is applicable in case of amalgamation in the nature of purchase which is not the case here and the Petitioner craves leaves of this Hon'ble Tribunal to refer to para 16 of Accounting Standard 14 as reproduced hereinabove which clearly states that "*The difference between the amount recorded as share capital issued (plus any additional consideration in the form of cash or other assets) and the amount of share capital*

difference of the share capital issued by the transferee company and the share capital of the transferor company. Since the company has adopted Accounting Standard- 14 for accounting treatment of assets and liabilities in the books of the transferee company on post-merger, the above para has no relevant for the scheme hence, the Hon'ble Tribunal may direct the petitioner companies to delete such para from the scheme.	*of the transferor company is adjusted is reserves in the financial statements of the transferee company".* Further, it is respectfully submitted that para no. 5.16 (e) of the Scheme merely mentions about a probable situation and indicates that the difference, **if any**, between amount recorded as share capital and any additional amount then the Transferee company shall adjust the same from reserve. There shall be no adjustment in reserve of the Transferee Company if there is no difference. It is pertinent to mention that the Scheme is in compliance of Accounting Standard 14 and as required under the proviso to Section 232 (3), the Company has filed a certificate of Statutory Auditor to this effect that the accounting treatment, proposed in the scheme, is in conformity with the accounting standards prescribed under Section 133. Further, it is submitted that there is no adversity to the scheme and as such there is no problem in retaining the under reply in the Scheme. The applicant company hereby further undertake to strictly comply with AS-14 and any other direction/order passed by this Hon'ble Tribunal in this regard.
(c) Para- 5.18 of the scheme speaks as under: *"If any doubt or difference or issue arises as to the construction hereof or as to anything else contained in or relating to or arise out of this Scheme, the same may be referred to representatives of the transferor and transferee company Mr. Hardev Singh, Company Secretary in Practice, Mobile 9810331425 and/or Mr. Praveen Kumar Sehrawat, Advocate, Mobile 9810290055"* It is submitted that the contention of the above para does not fall under the ambit of Section 230-232 of the Companies Act, 2013 since it speaks about settlement of differences if arise from the scheme on post-merger. In view of the above it is prayed to direct the petitioner Companies to delete such para from the scheme.	(c) That in response to para 11 (c) of the Representation/Affidavit it is submitted that the para no. 5.18 of the scheme is with respect to the Interpretation of Scheme and nothing else and cannot be construed in the way it has been interpreted by the Regional Director. It is further submitted that the para 5.18 is not related to resolve any doubt or difference or issues arises post-merger, but for any such issues para no. 5.15 of the said Scheme is applicable, which is reproduced herein below for kind consideration of this Hon'ble Tribunal. *"Upon the scheme taking effect and after dissolution of the Transferor Company, the Board of Directors of the Transferee Company are hereby authorized to take steps as may be necessary, desirable or proper to resolve any questions, doubts, or difficulty whether by reason of any order of the NCLT or any directive order or sanction of any authority or otherwise arising out of or under this Scheme or any matter therewith".*

	It is respectfully submitted that the above para of the Scheme clearly states that post-merger, Board of Directors of the Transferee Company are authorized to take steps as may be necessary, desirable or proper to resolve any questions, doubts, or difficulty whether by reason of any order of the NCLT or any directive order or sanction of any authority or otherwise arising out of or under this Scheme or any matter related therewith. Further it is submitted that there is no adverse effect on the scheme if the said para 5.18 is retained in the Scheme. The applicant/petitioner hereby further undertake to abide by order/direction passed by this Hon'ble Tribunal in this regard. Also, the Applicant/Petitioners, if directed by this Hon'ble Tribunal, can file a statement as mentioned in Section 232 (7). Section 232 (7) is reproduced herein below for ready reference: "*Every company in relation to which the order is made shall, until the completion of the scheme, file a statement in such form and within such time as may be prescribed with the Registrar every year duly certified by a chartered accountant or a cost accountant or a company secretary in practice indicating whether the scheme is being complied with in accordance with the orders of the Tribunal or not*"

11. The Official Liquidator has filed its report dated 12.07.2021, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

12. The Income Tax Department has submitted its report dated 24.01.2022 wherein no specific objection was raised with respect to the proposed Scheme of Amalgamation between the petitioner companies.

13. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

14. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

15. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable. Moreover, the Petitioner companies have given undertaking to strictly comply with relevant Accounting Standards.

16. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is

sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

17. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect

to any permission/compliance with any other requirement which may be specifically required under any law.

19. This tribunal further directs with respect to the Transferor company and the Transferee company, that:

(i) The Appointed Date fixed for the proposed scheme is 01.04.2020 or such other date as prescribed by this Tribunal, in the facts and circumstances of the case and the time taken in completion of the formalities. Having considered the facts and circumstances of this case, we prescribe 01.04.2022 as the appointed date for the proposed scheme.

(ii) Upon the sanction becoming effective from the appointed date i.e. 01.04.2022 as prescribed by this Tribunal for the scheme, the Transferor Company shall stand dissolved without undergoing the winding up process.

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand

transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such

certified copy being so delivered, the Transferor company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

21. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

22. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(SH. P.S.N. PRASAD)
MEMBER (JUDICIAL)